

To what extent does India's quick commerce model reflect structural economic conditions rather than consumer preference, and what does this suggest about its replicability in developed markets?

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ABSTRACT

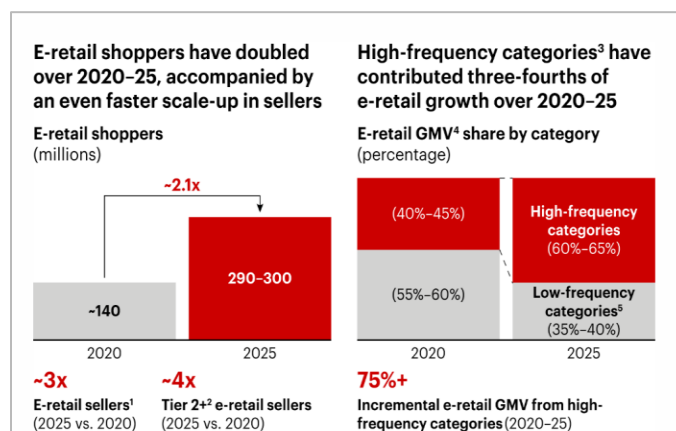
This study aims to determine the causes of rapid growth in the quick-commerce sector in India. The primary aim is to distinguish between two explanatory factors, namely, consumer preferences and market structure. In particular, the study seeks to find out if the success of the Indian model is explained by the requirement of consumers for timely and comfortable shopping, or by the presence of favorable economic conditions including cheap labor, high density of the population living in cities, the presence of smartphones, the development of digital capabilities for payment transactions, and large gig economy. The study applies the qualitative research approach using secondary data drawn from industry reports and other publications. Comparative analysis is carried out between India and developed countries including the United States and Europe to assess the possibility of replicating the Indian model. As a result, it is revealed that consumer preferences act as an incentive to use the model, while the economic situation contributes significantly to the overall viability of quick commerce in India.

1. INTRODUCTION

1.1 Background of the Study

The evolution of e-commerce is the fastest growth area in Indian retail where over the last ten years there has been an increase in the use of e-commerce in India (i.e., changes in how people shop for products and services) due to factors such as increasing penetration of the Internet, Affordable smartphones, improving Digital Payment Systems (DPS), and Urbanization. There have been government-led initiatives across Indian cities to establish digital platforms (i.e., Digital India) that support the rapid adoption of e-commerce. This growth has been supported by the rapid adoption of the Unified Payments Interface (UPI) facilitating the integration of millions of new customers into the digital ecosystem. The result has been strong growth in India's online retail market, growing to

approximately \$200 billion by FY26 at a continued strong pace.

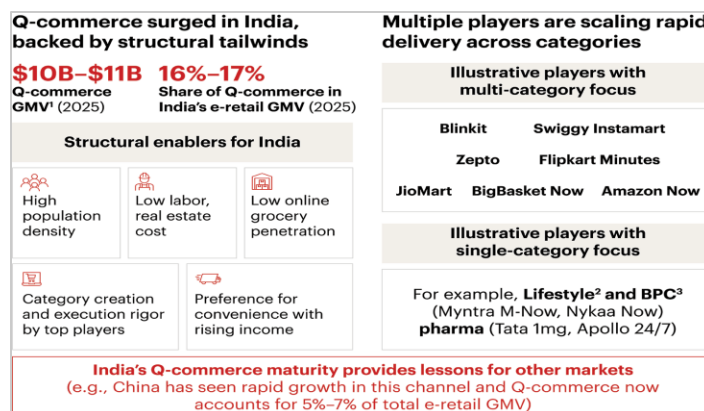


Source: [Bain](#)

Quick commerce (Q-commerce) is considered a new phase in the evolution of e-commerce. While traditional e-commerce models offer delivery times of one to three days, the goal of Q-commerce is to deliver goods within a 10 to 30 minute timeframe using micro-fulfilment centres (also known as "dark stores") located throughout metropolitan areas. Q-commerce started out delivering groceries/essential items but has rapidly evolved to include other consumer products such as electronics, beauty care products, personal care products, pharmaceuticals and general household

items. Q-commerce is based on a high rate of consumer orders through effective logistical management, real-time inventory management systems and hyper-local delivery networks capable of satisfying consumer needs for instant order fulfilment.

Of all the countries in the world, India has become one of the most vibrant Q-commerce markets, with companies such as Blinkit, Zepto and Swiggy Instamart quickly rolling out their services throughout major urban centres. Q-commerce in India have a Gross Merchandise Value (GMV) exceeding US\$10 billion and more than 30 million people using Q-commerce at least once a month. Additionally, estimates indicate that the Q-commerce segment in India will experience annual growth rates over 100%, making it the fastest growing segment of the digital economy of India.



Source: [Bain](#)

Urban consumption has changed dramatically due to the emergence of 10-30 minute delivery models. Originally developed to provide retailers with a fast and convenient way to fulfill emergency grocery orders, these services have now become common retail channels. Order volumes processed by these platforms show that an increasing number of consumers rely on instant delivery services. Therefore, quick commerce has garnered significant VC funding and investment from tech and traditional retail companies, including Amazon, Flipkart, and others, that are now developing their quick commerce offerings.

Although there has been an incredible amount of growth in the quick commerce industry, there are still questions regarding what the drivers of success are. Some analysts cite an overall shift toward consumer preference for speed and convenience; others believe the unique economic and structural characteristics of the Indian market have played an important role in supporting the growth and sustainability of quick commerce in that country.

Research Objectives

Three specific aims that will be addressed in this research study are as follows:

1. To analyze the structural economic factors that support the growth and sustainment of quick commerce in India.
2. To examine the influence of consumer patterns of purchasing and preferences (convenience, speed,

etc.) on the adoption of quick commerce.

3. To compare India's economic and institutional/ logistical environments with developed market countries.

Research Problem and Significance of the Study

Quick commerce is growing rapidly in India and is generating considerable academic and business interest. The success of quick commerce has generally been attributed to the rising consumer demand for speed, convenience and time (i.e. saving) related services. However, an alternative explanation for the success of quick commerce is that this business model is heavily reliant upon several of India's unique structural economic circumstances. Such circumstances include: 1) low labour costs, 2) high density of the urban population, 3) high penetration of smartphones 4) high penetration of digital payment options, and 5) supply of a large

gig economy (i.e. workforce) creating a suitable environment for the development and delivery of rapid delivery services.

The comparative experiences of quick-commerce companies operating in developed markets (within which many companies are experiencing or have experienced losses and market exit despite strong demand by consumers) raise questions as to whether the success of the Indian quick-commerce business model represents a universally scalable innovation or one that is significantly reliant on the extremely important structural economic conditions existing in India. Therefore, the purpose of this study is to determine the extent to which the success of quick commerce in India is dependent upon structural economic factors versus consumer preferences, as well as what implications exist regarding the possible replication of the Indian model in developed countries.

2. LITERATURE REVIEW

2.1 Concept of Quick Commerce

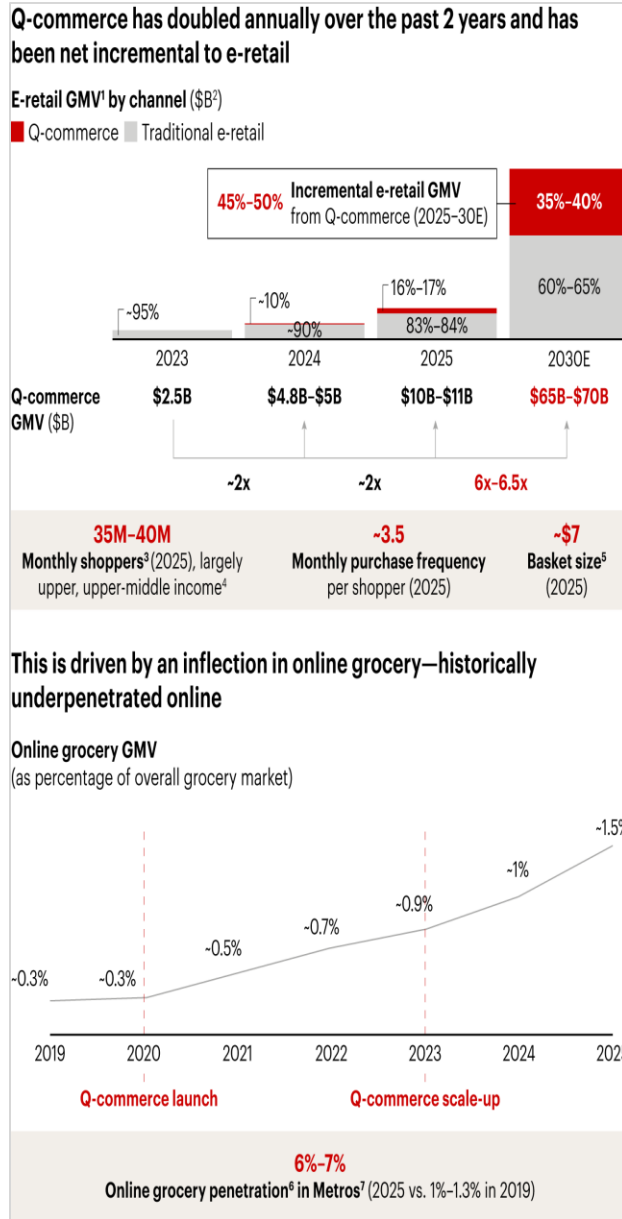
Quick commerce is essentially an electronic commerce fulfillment model where goods are delivered to customers at an express rate of time (between 10-30 minutes) after the order has been placed, in contrast to today's traditional e-commerce, which primarily provides variety and low cost for goods to consumers over a multi-day (from 1 to 4 days) delivery period of time (McKinsey & Company,2024).

Quick commerce uses various logistics service providers and has evolved since the early 2000's when ecommerce was mainly focused on increasing product availability through product and delivery searching cost saving and expanding product availability (McKinsey & Company,2024). There are many business models using quick-commerce, many businesses have developed to use a combination of strategically located

micro fulfillment & pre-pick location systems with nearby hyper-local delivery networks utilizing these systems. The acceleration of demand for shorter delivery times and increased pickup accessibility from the COVID-19 pandemic has produced an extraordinary growth opportunity for quick commerce.

Quick commerce distinguishes itself from other retail systems due to the usage of dark stores for their order fulfillment. These are small warehouses located near places where people live and are designated for online order fulfillment only. Customers cannot enter dark stores, so an efficient picking, packing, and dispatching process happens in dark stores rather than in traditional retail stores (Redseer, 2025). Since dark stores are close to where consumers live, delivery personnel can deliver to customers' homes within a limited distance, typically between two and five kilometers.

The operating base of the quick-commerce model is hyperlocal logistics. Companies utilize GPS, route-selection algorithms, and real-time inventory management systems to coordinate a rapid delivery system at the least possible cost per product shipped. Combining dark stores and hyperlocal logistics necessarily increases delivery efficiencies and customer satisfaction. Hence, dark stores and hyperlocal logistics form a critical part of the quick-commerce ecosystem (Kumar, 2023).



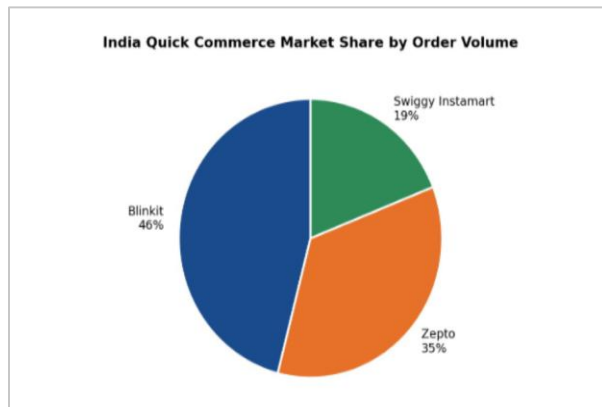
Source: [Bain](#)

2.2 Theoretical Frameworks

Platform Economy Theory

The Platform Economy Theory offers insight into understanding the main economic structure of quick commerce. Digital platforms act as intermediaries (or ‘middlemen’) among customers, suppliers and delivery workers. According to Srnicek (2017), the real value of a digital platform is created when many different people/companies are brought together and operate under common objectives. As a result, digital platforms create significant efficiencies in how member organisations (customers and suppliers) operate by using data to make informed decisions. In this research context, the theory is helpful in elucidating how the digital framework, platform coordination and logistics integration help quick commerce businesses function efficiently and effectively regardless of the customers' preferences. Among others, Blinkit, Zepto and Swiggy

Instamart show that the digital environment in India, with its integration and platform infrastructure forms structural benefits for quick commerce companies.



Source: [Times of India, 2026](#)

Transaction Cost Economics

According to Transaction Cost Economics (TCE), which Williamson (1985) developed, both firms and consumers often look to minimize the costs associated with their economic transactions. These costs can come from searching for information, spending money on transportation, waiting, and uncertainty. Through quick commerce, transaction costs will be reduced because the consumer is able to receive the product

much sooner than he/she would have otherwise, reducing both searching and waiting costs. Therefore, the quick commerce initiative, from the consumer's perspective, could be viewed as a rational choice because the transaction costs associated with using quick commerce are lower than traditional delivery methods.

Urban Economics

Urban Economics places great importance on the effects of population density and spatial organization on levels of economic efficiency. According to Glaeser (2011), dense cities provide opportunities for enabling economies of scale through reduced transportation costs and improved allocation of resources. Rapid Online shopping is highly impacted by high-density urban areas because of the reduction of distance in which delivery staff can fulfil multiple delivery orders in a limited amount of time. For example, cities such as Mumbai, Delhi, and Bengaluru have

population density and demand levels that create conditions conducive to the rapid delivery model.



Source: [Bain](#)

Institutional Economics

According to institutional economics, institutions play an important role in determining economic outcomes, whether they be formal or informal. For example, the institutional infrastructure (regulatory environment, etc.) under which a firm operates will affect the economic outcomes of the firm. Therefore, quick commerce will be shaped by both the demand side (consumers) and the institutional side

(firms). Examples of this include: labor regulations, wage levels, digital payment infrastructure, and urban planning policies. The findings of this research show that Institutional Economics supports the idea of structural economics as the institutional factors such as UPI, labour conditions, and digital infrastructure of India enhance the environment for quick-delivery businesses such as Blinkit, Zepto, and Swiggy Instamart to operate better, demonstrating that structural conditions play a crucial role alongside consumer demand.

2.3 Consumer Preference Perspective

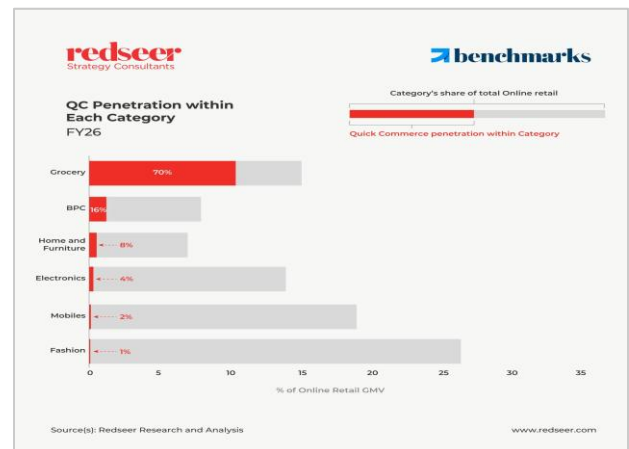
The growing number of research studies on quick commerce attributes its growth to changing consumer preferences. Recent studies show that consumer preferences are increasingly being influenced by convenience, speed, and flexibility (Berry et al., 2002). Researchers argue that in urban areas with high levels of time constraints

and limited ability to absorb time lost in routine activities, convenience is becoming a major driver of consumer purchasing decisions.

The major driver behind the development of quick commerce is time poverty. Many urban consumers work longer hours and have much busier schedules. As a result, consumers who experience time poverty are searching for ways to reduce the amount of time required for routine tasks (grocery shopping).

The role of impulse shopping has been recognized as an important driver of quick commerce use through research studies. Quick delivery options help to reduce the mental barrier to making unplanned purchases and are more likely to encourage consumers to buy things on impulse. Instant gratification is made possible by delivering items in a matter of minutes which is consistent with other trends for behaviors of digital consumers.

A number of metrics have been determined that affect consumer adoption of quick delivery services. Speed of delivery is repeatedly mentioned as one of the top contributors to customer satisfaction (Redseer, 2025). User experience or the way the application looks and functions, ease of navigating the application, and ease of paying for the product affect platform choice. Availability of products is a factor as consumers expect quick delivery platforms to carry a consistent supply of frequently purchased products in their warehouse.



Source: [Redseer](#)

2.4 Structural Economic Perspective

Labor Market Conditions

The global gig economy is substantial, with India being home to one of the largest workforces. According to NITI Aayog (2022), there were roughly 7.7 million gig workers in India in 2020–21, with projections estimating that this will grow to 23.5 million in 2029–30. India has a considerable pool of labour that quick commerce firms can use for recruiting their delivery forces at relatively low rates when compared with those in the developed economies. This large informal employment market also means that there is always a source of labour available to work on the delivery platforms.

Labour expenses are an important part of last-mile delivery costs for quick commerce service providers. Research shows that wages paid for delivery in India are considerably lower than those in North

America or Western Europe, thus making it possible to run economically feasible quick commerce delivery services (McKinsey & Company, 2024). The conclusion is that the conditions of the labour market have a larger influence on the profitability of the quick commerce industry than consumer demand, as the firms can deliver goods at a lower cost and thus sustain their business processes even in the conditions of scale. Despite the fact that consumers in advanced economies have the same needs in terms of convenience and speed of delivery, the companies still fail to run their businesses in the conditions of high labour costs.

Urban Density

Urban density is another important structural factor. India has many very densely-populated megacities. By way of example, Mumbai has more than 20,000 people per square kilometer in many of its districts compared to approximately 7,500 people per square kilometer in New York City (United

Nations, 2024). Firms can reach large numbers of customers in relatively small areas because of high density; consequently, they can decrease delivery distance and transportation expenses. If consumer preference alone explained quick-commerce success, similar outcomes would be expected in developed markets where demand for convenience is also high. The contrasting experience suggests that urban density is a more decisive structural factor.

Digital Infrastructure

Rapid delivery services are also influenced by electronic infrastructure, including: smartphone capabilities are expected to grow to an estimated 750 million by 2026 end, there is strong growth in internet penetration (GSMA 2025), and India has one of the most sophisticated digital payment systems in the world with the Unified Payments Interface (UPI).

With respect to UPI, there were over 18 billion transactions processed monthly by 2025; therefore, digital payment transactions were accessible and created minimal friction for the user (National Payments Corporation of India [NPCI] 2025). This electronic infrastructure combined with the low-cost mobile data in India enables consumers to easily use applications to order and pay for items.

Real Estate and Dark Stores

Availability of dark stores and micro warehousing is another factor that makes Quick-Commerces successful. Quick-commerce companies have invested significantly in dense networks of fulfilment centres located in close proximity to residential areas. Research indicates that large Indian companies operate thousands of dark stores in major urban areas and therefore fulfil orders quickly (Redseer 2025).

2.5 Quick Commerce in Developed Markets

Developed markets also provide good comparative data points. For example, companies like Gopuff, Buyk, and Fridge No More expanded rapidly in the USA during the pandemic, and European companies like Gorillas, Getir, and Flink gained significant venture capital and expanded aggressively across Europe.

During the period from 2020-2022, worldwide quick-commerce startups raised billions of dollars in capital. For instance, in less than 2 years after starting operations, Gorillas had a valuation of over \$3 Billion, while Getir has substantially expanded into the United States and other European nations. However, the overwhelming majority of these startups are experiencing high consumer interest in their products/services but are unable to achieve profitability.

A number of factors have contributed to the challenges faced by many of the quick-commerce startups. 1) Lower population densities in many major metropolitan areas result in higher delivery costs due to less efficient delivery operations and longer distances between each delivery. 2) Increasing labor costs, most notably, in last-mile delivery-services, have substantially impacted last-mile delivery costs. 3) Increasing government regulations related to labor and employee protections have only added to operating costs. As a result, most of the startups have lost significant amounts of money and have been forced to reduce operational capabilities.

In the United States, Buyk and Fridge No More exited the market in 2022; while Gorillas was acquired by Getir due to significant financial problems. Subsequently, as part of a larger restructuring initiative, Getir has ceased operations in many of the international

markets. The above-mentioned facts suggest that there are instances where consumer interest alone cannot help a company succeed in profitability.

2.6 Research Gap

Previous research into quick-commerce has mainly been focused on three areas: how customers behave, how efficiently companies operate, and how successful start-ups are. The studies that focus on how customers behave tend to point to convenience, speed of delivery, and consumer satisfaction as the key drivers of consumer adoption of these companies (Berry et al., 2002; Verhoef et al., 2015). The studies that focus on efficiency tend to concentrate on logistics efficiencies, using dark stores, and last mile delivery methodologies. Business-related studies of quick-commerce often focus on investment trends, growth strategy, and profitability

challenges facing quick commerce companies.

Due to these contributions, there are still several significant gaps associated with continued research into quick commerce. First, there are relatively few studies that have compared how structural economic conditions and consumer preferences relate to the success of quick-commerce business models. Much of the existing research regarding quick commerce has focused on consumer demand as an explanatory factor, with limited attention paid to the labor market structure, urban density, digital infrastructure, and other institutional conditions affecting the ability of quick commerce companies to achieve their growth plans.

Second, there is a lack of comparative studies examining what has resulted in quick commerce continuing to grow in India while facing significant obstacles to growth in developed nations such as the United States

and Europe. Existing research tends to focus on one country or one company instead of providing insight into multiple markets

3. CONCEPTUAL FRAMEWORK

3.1 Structural Economic Factors

The economic and institutional context in which quick commerce operates is essential to its success. Several aspects of India's structures favour the growth of this sector such as low-cost labour, high-density urban populations and rapid adoption of digital payment systems. High penetration of smartphones and availability of a large gig workforce, and development of logistics infrastructure such as dark stores and hyperlocal delivery networks facilitate companies to deliver quickly at relatively low operational costs

STRUCTURAL ECONOMIC FACTORS

-
- Labour Cost
 - Urban Density
 - Digital Infrastructure
 - Dark Stores / Logistics
 - Gig Workforce

|

| (Higher Influence)

SUCCESS OF QUICK COMMERCE



|

| (Supporting Influence)

CONSUMER PREFERENCES

- Convenience
 - Speed
-

- Time-saving
- Impulse Buying
- User Experience

This figure illustrates the theoretical framework used in this particular study. This framework claims that both economic structure as well as consumer preferences matter for the success of quick commerce; however, in this study it is proposed that structural factors play a larger role in this regard, since they specify if one can conduct rapid delivery business in a profitable way. Therefore, consumer preferences generate demand for rapid delivery services, but the actual conditions, such as labor costs, urban density, digital infrastructure and logistic networks, help to determine if firms can provide such services. The framework states that even though consumer preferences create demand for quick commerce services, it is structural factors that decide if this demand can be

implemented into a successful and scalable model.

3.2 Consumer Preference Factors

In addition to the structural factors driving the growth of quick commerce, consumer behaviour plays a role. This contemporary generation of consumers highly values convenience, speed and flexibility in their purchasing decisions. Therefore, quick-commerce platforms provide consumers with a means of fast product delivery, reducing the amount of time spent shopping, and allowing them access to a broad category of products. Additionally, the availability of user-friendly applications, reliable service and immediate product availability all assist in promoting the adoption and continued use of products..

3.3 Success of Quick Commerce

Indicators such as customer adoption and frequency of ordering can be used to

measure whether or not the quick-commerce model is effective. The high level of consumer engagement and continued growth of the market demonstrate that quick-commerce services have become an integral part of the retail ecosystem.

3.4 Market Context

The impact of these factors on the success of quick commerce might differ by type of economic environment. The Indian environment is distinguished by large urban population densities, lower cost of labor, and a quickly growing digital ecosystem, while developed marketplaces typically incur higher labor costs, have greater compliance requirements, and have differing urban forms. As a result, the conditions necessary for rapid growth in quick commerce may not be as prevalent in developed countries as they are in India.

3.5 Conclusion

Considering the findings from the literature review conducted in Section 2, the present study concludes that structural factors are more important than consumer preferences. The demand for quick delivery services is caused by consumer preferences, but structural factors influence the effectiveness and profitability of operations. Therefore, it can be claimed that in the countries that have the same structure as India, it is very likely that the model would work in those countries as well.

4. RESEARCH METHODOLOGY

In this study, we have conducted a comparison of the economic and consumer preference factors that have influenced the growth and success of the quick-commerce model in India. we have utilized a qualitative research method for the study; however, the research draws upon secondary

data from published resources. We have looked at industry reports from organizations such as McKinsey & Company, Bain & Company and Redseer Strategy Consultants to gather information on market trends, growth and consumer behaviour, along with company reports for leading quick-commerce firms, including Blinkit, Zepto and Swiggy Instamart to learn about their business strategies and operational models. In addition, we have conduct an academic literature review via Google Scholar, Scopus and JSTOR in order to form a theoretical framework for the study as well as look to government publications from the Ministry of Commerce and Industry, DPIIT, RBI and NITI Aayog for data on labour markets, digital infrastructure and economic conditions. We have gathered and used thematic analysis of the data collected and used the following five main themes as the basis for the comparisons: labour economics; density of

urban populations; consumer convenience; digital infrastructure; and market scalability. Ultimately, through a comparative assessment of the quick-commerce model's performance in India versus its performance in developed countries, we will be able to assess the importance of the structural and consumer preference factors that shape the future growth/sustainability/replicability of the quick-commerce model.

5. ANALYSIS AND DISCUSSION

This chapter reviews the model developed in Chapter 3, analyzing the comparative impact that structural economic determinants and consumer decisions have on the development of quick commerce in India. According to the model, structural elements are likely to be more significant than consumer attitudes in establishing the feasibility of quick commerce. The analysis discussed below considers separate

components of the framework in question while comparing India with more developed economies.

5.1 India's Structural Advantages: Labor Cost Advantage

One of the major factors contributing to the success of quick commerce in India is its relatively large, inexpensive workforce. According to NITI Aayog, in 2020-21 India had around 7.7 million gig workers with the expectation that by 2029-30 there will be 23.5 million gig workers. The abundance of gig workers helps quick commerce platforms ramp up operations quickly while also providing flexible labour arrangements. In India, as compared to developed economies, delivery rider wages are significantly lower; therefore, operational costs associated with providing fast delivery services will also be lower. Because labour represents a large portion of the total cost of a company's last mile

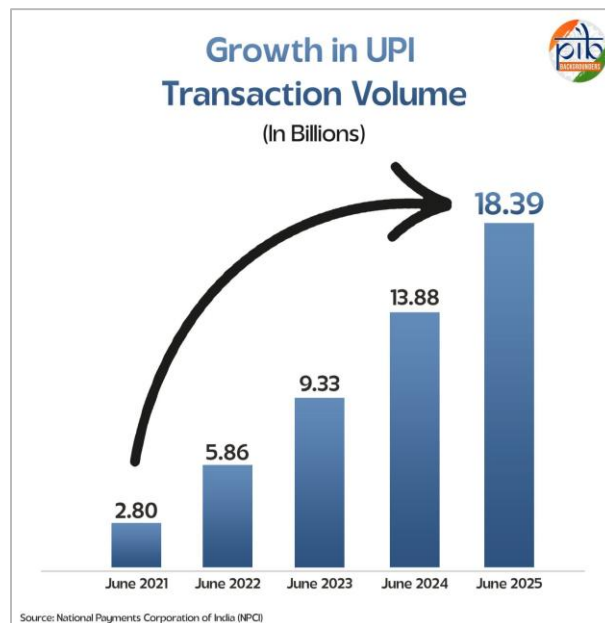
delivery costs; because of the lower wages, companies such as Blinkit, Zepto and Swiggy Instamart are able to provide fast deliveries without charging consumers significantly for delivery. Therefore, the structure of India's labour market creates favourable conditions for quick commerce operations to be both economically viable and scalable. This finding indicates that labour market conditions outweigh consumer preferences in explaining India's quick-commerce success.

5.2 Urban Density Advantage

India's high urban population density provides another important structural advantage. Major metropolitan areas such as Mumbai, Delhi, and Bengaluru contain large concentrations of consumers within relatively small geographic regions. Mumbai, for example, has a population density exceeding 20,000 persons per square kilometer in several districts, making it one

of the world's most densely populated urban centers. High population density enables quick-commerce companies to establish dark stores within close proximity to customers, reducing average delivery distances and improving operational efficiency. Shorter delivery radii translate into lower transportation costs, faster delivery times, and increased order volumes per delivery rider. This concentration of demand allows firms to achieve economies of scale that are difficult to replicate in less densely populated markets. As a result, urban density significantly enhances the profitability and sustainability of the quick-commerce model in India. If consumer preference for convenience were the only must for quick-commerce to thrive, similar scale of growth could be expected in the USA and Europe too. However, the fact that quick-commerce companies have been less successful in both regions indicates that structural factors like urban density are the

most important for the long-term sustainability of this model.



5.3 Digital Ecosystem Advantage

The digital ecosystem of India has facilitated the growth of quick commerce by offering a robust networked infrastructure. India has large numbers of smartphone users (750 million+) and also has one of the largest bases of internet users, second only to China. In addition, the country has highly developed digital payment networks based on the Unified Payments Interface (UPI), with more than 18 billion transactions

processed on a monthly basis as of 2025 --- illustrating broad adoption among consumers for making digital payments.

The seamlessness of digital payments (transaction friction experience) provides consumers ease of use when making purchases. Lastly, India has some of the lowest mobile data costs in the world, which enables vast segments of consumers to access application-based services through their smartphones. These factors combined create an environment that allows consumers to easily browse, order from and pay for products sold by quick-commerce applications. As a result, access to affordable internet, adoption of smartphones, and payment via digital payments have become key drivers of rapid growth in the marketplace.

5.4 Consumer Preference Analysis

There is no doubt that consumer preference impacts the growth of quick commerce.

Studies show that speed, convenience, and access play a crucial role in helping consumers determine which products they will buy. Quick commerce provides consumers with access to groceries and everyday products within minutes from the time of order completion. The rapid pace of city life has also led to higher demand for services that reduce the amount of time spent shopping/consuming and allow immediate access to items. Industry studies still indicate that the speed of delivery is one of the strongest factors affecting customer satisfaction and loyalty to a vendor. In addition, convenience has led to increased repeat purchase volume, especially for working professionals and younger consumers who are focused on saving time.

The question is: can consumer preferences alone sustain the quick-commerce business model without favorable structural conditions? Worldwide consumers are looking for convenience; however, based on

the track record of developed markets, consumer preferences alone do not mean commercial viability. The same applies to the North American and European markets, where delivery speed and convenience are equally desired; however, most of the new entrants to the quick-commerce sector in those locales have failed to be profitable. Therefore, while consumer demand is critical to adoption, it is not enough on its own to sustain the business in the long run without favorable economic conditions driving the growth of the business.

5.5 Comparative Analysis with Developed Markets

A comparison between India and developed markets highlights significant differences in the structural conditions underpinning quick commerce.

Factor	India	Europe/ US	Implication
Labor Cost	~₹18k–22k/mo min wage; gig workers accept ₹15k–20k	\$3,000–\$5,000/mo; gig workers often earn near minimum wage	India's low labor floor makes sub-₹500 order economics viable
Urban Density	Mumbai : 20,000/km ² ; Delhi: 11,000/km ²	London: 5,700/km ² ; NYC: 10,400/km ²	High density enables 2-3 km dark store radius to cover massive demand
Regulatory Enviro	Permissive zoning;	Amsterdam, Paris,	Regulatory hostility undermines

nment	few dark- store restricti ons	Barcelon a banned residenti al dark stores (2023)	unit economics in developed markets	Consu mer Price Sensiti vity	High; platfor ms use aggressi ve discount ing to acquire/ retain	Moderat e; consume rs expect premium pricing for premium speed	Willingness- to-pay mismatch is a structural barrier in Western markets
Digital Payme nts	UPI: 83% of paymen t volume	Card/cas h-heavy; no unified instant payment at scale	Frictionless UPI checkout reduces cart abandonmen t				
Traditi onal Retail Gap	Fragme nted kirana stores; poor inventor y & long queues	Dense, efficient superma rkets within walking/ driving distance	Q- commerce fills a genuine gap in India; less so in developed markets				

Even though customer requests for convenience exist in all three regions, economic viability of quick commerce differs significantly. More affordable labour costs will lower last-mile delivery costs in India, in turn adding to the capacity to deliver effectively with the higher density of people in city centres. In contrast, quick-commerce businesses in the U.S. and Europe have higher labour cost structures, more stringent labour regulations and lower density in many cities. These cost structures

create an increase in operational costs and decrease in the profitability of fast delivery services.

Companies such as Gopuff, Buyk, Fridge No More, Gorillas, Getir and Flink represent some of these challenges faced by the industry players; while they received a large amount of outside investment and enjoyed fast user growth during 2020 due to COVID-19, many were unable to achieve sustainable profits. As a result, both Buyk and Fridge No More left the U.S. market while Gorillas was sold as a result of financial issues. Because of these events, Getir also left many worldwide markets through its restructuring process to begin anew. Another explanation is the fact that many companies expanded aggressively and relied on venture funding, which contributed to the creation of a business model that proved untenable. However, even if taking into consideration these business decisions, many of the structural barriers still persist in

developed markets, such as high labor costs, lack of urban concentration, etc. Therefore, strong consumer demand alone was insufficient to ensure sustainable success.

Based on this analysis, it can be determined that the success of quick commerce in India is not due solely to preference by the consumer; rather, it is also due in large part to favourable labour market conditions, population density and available technology.

6. REPLICABILITY ASSESSMENT

The success of the quick-commerce model in India has raised the question of whether this model will also work in other countries. While there is demand globally for convenience and quick delivery from consumers, the research findings for this study suggest that certain structural conditions are critical indicators of the viability of quick commerce. To determine

whether these conditions exist in other countries, it will be necessary to assess whether the following conditions are present in the other markets looking to replicate success from India's model.

6.1 Necessary Conditions for Replication

The analysis indicates that four different conditions are key to a successful model that can sustain quick-commerce operations. First, there needs to be a dense urban population, which will provide a significant customer base to support high numbers of orders within a short distance from customers to reduce transportation costs and time from when the order is placed until it is delivered to the customer doorstep. Second, access to low-cost labour to support the logistics industry is fundamental for businesses that operate economically viable last-mile delivery operations. Third, there must be significant penetration of digital payment technology to enable seamless

purchasing and encourage consumers to use an app to frequently make purchases through an e-commerce channel. Finally, there must be local warehousing capabilities, such as dark stores and fulfilment centres, in place to provide the infrastructure necessary for quick processing times from order placement to order being delivered to the customer. Markets that meet the requirements set forth above are more likely to replicate the success of the quick commerce business model currently realised in India. Consumer demand for convenience is seen not only in emerging markets but also in developed countries; however, based on the findings of this research, it seems that replication of services is impacted more by structural economic factors than by consumer preferences. Markets that do not have competitive labour costs, urban density, infrastructure, and logistics are unlikely to achieve significant efficiency and profitability levels similar to India.

6.2 High Replicability Markets

Countries like Indonesia, Vietnam, and the Philippines share many of the same structural characteristics as India; hence they may be good candidates for implementing the quick-commerce model. The main cities in these countries like Jakarta (with a density of over 16,000 people/km²), Ho Chi Minh City (with a density of over 4,500 people/km²), and Manila (over 43,000 people/km²) enjoy high urban density that contributes to the efficiency of hyperlocal deliveries. More than 75–85% of people have smartphones, with digital payments facilitated by platforms like GoPay, MoMo, and GCash. The labour costs remain considerably lower compared to the developed economies. However, logistics infrastructure outside major urban centres remains less developed than in India, particularly in Indonesia and the Philippines, where geographical fragmentation increases delivery complexity. Therefore, although

these markets possess structural conditions favourable to quick commerce, nationwide scalability remains more challenging than in India.

6.3 Moderate Replicability Markets

Brazil and Mexico hold reasonable potential for duplication of India's hyper-local commerce model, considering both their massive urban population and growing digital economies. Cities like São Paulo (7,500 people/km²) and Mexico City (6,200 people/km²) produce enough population density to support hyperlocal deliveries. Both smartphone penetration rates are above 80%, while digital payments are on the rise thanks to programs like PIX in Brazil. But labor costs are much higher than in India, adding to last mile delivery costs. Moreover, traffic jams, uneven infrastructure, and unsatisfactory logistics increase limitations on operational efficiency, and complicated regulations do not allow to scale up. Thus,

quick-commerce development is expected to remain limited to megapolis only.

6.4 Low Replicability Markets

The US, Canada, and Australia show the least possibility of replicating the quick-commerce model that India has adopted, despite the high demand for convenience among customers. The use of smartphones in these countries is more than 90 percent, and the online commerce system is already in place. But the average monthly delivery wage of around \$3,000–5,000 is much higher than the wage paid in India and creates additional operating costs. Many urban centers also have lower population density than cities in India and thus greater delivery distances and less concentration of orders. Furthermore, strict labour legislation, high prices of commercial premises, and well-developed supermarket networks lower the competitive advantage of ultra-fast delivery services. This confirms that even if

consumers in developed countries are ready to pay for convenience, the absence of favorable economic conditions makes it impossible to adopt the Indian model of quick-commerce in these countries.

6.5 Replicability Framework

Replicability Level	Countries	Assessment
High	Indonesia, Vietnam, Philippines	Similar structural conditions to India, including urban density, affordable labor, and growing digital ecosystems.
Moderate	Brazil, Mexico	Strong demand and urbanization, but higher costs

		and infrastructure constraints may limit scalability.
Low	United States, Canada, Australia	High labor and logistics costs reduce economic viability despite strong consumer demand.

6.6 Discussion

The analysis indicates that consumer demand for quick commerce cannot be considered solely sufficient to enable the successful implementation of quick commerce. Although there is a relatively high commonality associated with the demand for convenience, the ability to maintain rapid delivery operations will ultimately depend upon the structural factors

of labour cost, urban density, digital infrastructure, and warehousing networks. The experience of India is a clear indication of how quick commerce can succeed once these structural factors work together in coordination. As such, the likelihood of the emergence of a successful quick commerce model will be greater in emerging economies with conditions similar to those found in India, as opposed to a developed economy where the operational costs are much higher. The conclusion of the study reinforces the idea that structural economic factors are the most important factors impacting the success of quick commerce.

7. CONCLUSION

Indian's rapidly expanding online retail economy is a transformation driven by structural economic conditions, not consumer preferences, and this study aimed to assess how these two relationships will

influence the replicability of India's quick-commerce model in developed markets. While consumer demand for convenience, speed and accessibility is important when considering the growth of quick commerce as an industry, the factors contributing to the large growth and sustainability of quick commerce in India cannot be attributed to those three reasons only.

India's emerging quick commerce industry possesses inherent structural advantages that support its rapid growth. Low labor rates relative to developed markets; a large, flexible, gig workforce; high-density urban areas; heavy smartphone penetration; sophisticated digital payment systems; and significant numbers of dark stores create the right environment to enable fast, low-cost delivery operations. These structural features help reduce operational costs, increase efficiencies of delivery, and enhance the profitability of quick commerce operations. While consumer preferences

drive demand for these types of services, the ability for firms to serve this demand profitably and at scale will depend on structural issues.

Further evidence of the significant impact of structural issues can be found by comparing the circumstances in developed countries with those in developing countries that share similar consumer preferences toward convenient and fast delivery. Most quick commerce companies in North America and Europe continue to struggle with long-term profitability as a result of high labor rates, stringent regulations, and poor urban and infrastructure conditions. This indicates that consumer demand is important but not sufficient for the successful development of quick commerce.

Hence, the conclusion of the study is that the Quick Commerce model in India is not simply a reaction to changing consumer preferences, rather it is predominantly driven from India's unique economic

structural conditions. Therefore, it is unlikely for an organisation to replicate the Indian Quick Commerce model directly in a develop western market unless they are able to adjust their business strategy to cater for local conditions related to labour, regulation and infrastructure. The findings from the study show the necessity of looking at the economy in a broader sense and what its impact on eCommerce will ultimately be in the future.

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